

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED, *Respondents*.

DOCKET NO. 24-08

Served: May 3, 2024

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

SCHEDULING ORDER

On February 14, 2024, the Commission issued a Notice of Filing of Complaint and Assignment (“Notice”) for this proceeding. Complainants Impact Products, LLC and Safety Zone, LLC (“collectively, “Complainants”) allege that Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “Respondents” or “OOCL”) violated 46 U.S.C. §§ 41102(c) and 41104(a)(10) and 46 C.F.R. § 545.5 by assessing detention, demurrage, per diem, and yard storage charges that were not just or reasonable.

On March 8, 2024, OOCL filed a Motion to Dismiss and Memorandum in Support of Motion to Dismiss (“MTD”), asserting that Complainants lack standing to pursue reparations pursuant to the “direct purchaser” rule. On March 25, 2024, Complainants filed a response in opposition to the MTD (“Opposition”). On March 28, 2024, OOCL filed a reply to Complainants’ response in opposition (“Reply”).

OOCL argues that the direct purchaser rule applies in the case *sub judice*, and Complainants “are, by their own admission, only indirect purchasers at best, so lack standing to pursue reparations.” MTD at 1. OOCL references paragraph 15 of the Complaint, which “alleges that OOCL was paid by a non-vessel-operating common carrier (“NVOCC”) named Laufer Group International (“Laufer”), with which OOCL had a service contract, and that Impact Products and Safety Zone then paid Laufer.” MTD at 5. They assert that “where the claims are based on unreasonable or excessive charges, only the entities that purchased the relevant services directly from the ocean common carrier (“direct purchasers”) have suffered the “actual injury” that confers standing to seek reparations.” *Id.* at 2, citing to e.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (FMC Feb. 13, 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (FMC Dec. 29, 2022); *In Re: Carrier Services*, 2019 WL 5419475 (FMC Oct. 21, 2019) and *The Government of the Territory of Guam v. Sea-Land Service, Inc.*, 29 S.R.R. 894 (FMC March 27, 2002). According to OOCL,

based on the direct purchaser rule, only Laufer could be a direct purchaser with standing to seek reparations. MTD at 5, 6.

Complainants counter that they can appropriately bring the claims for reparations because they paid the pass-through charges and were the entities that suffered the harm, not Laufer. They contend that “[t]he direct purchaser rule typically applies to cases where a complainant, representing multiple customers or consumers, lacks a direct enough connection to the respondent within the chain of distribution to be considered a direct purchaser.” Opposition at 4 (citing to *Illinois Brick*, 431 U.S. at 726-737 (1977); *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1, 1 F.M.C. 2d 440 (F.M.C. Oct. 21, 2019)). In those cases, Complainants contend:

The Commission and the Supreme Court have pointed to three potential repercussions of allowing such parties to sue: (1) the risk of duplicative recovery (by both the direct and indirect purchasers); (2) the evidentiary complexities and uncertainties regarding pass-through charges; and (3) the need for effective enforcement of federal maritime law by concentrating the full recovery in those with the closest relationship with the wrongdoers.

Opposition at 4-5 (citing *Illinois Brick*, at 733-734; *In Re: Vehicle Carrier Services*, at *13). They further assert that “Laufer invoiced Complainants the disputed Charges with no mark up, and Complainants were the parties responsible for paying those charges.” Opposition at 6-7 (citations omitted). Consequently, “the three concerns noted in *Illinois Brick* and *In RE: Vehicle Carrier Services* are inapplicable [to the instant case].” Opposition at 7.

In the alternative, Complainants assert that “they will receive a valid assignment of the claim from Laufer.” Opposition at 9.

The Complaint alleges that Complainants used Laufer, which it identifies as a freight forwarder¹ “to assist in the facilitation of the relevant containers.” Complaint at ¶ 15. It is unclear from Complainants’ wording what Laufer did regarding the containers, but Laufer is not a party to this proceeding. Complainants further allege that “[w]hile Laufer invoiced Supply Source for the Charges, it was simply acting as a conduit for the Charges that were sent by OOCL.”² *Id.* The Complaint does not clearly allege what entity was assessed allegedly unreasonable charges or when they were assessed such charges. More clarification is required to understand what role Laufer played in the events Complainants allege occurred, and when they occurred.

¹ Complainants acknowledge in their opposition to the MTD that Laufer is a non-vessel operating common carrier (“NVOCC”) rather than a freight forwarder. Opposition at 2, n.2.

² Despite some confusion in the Complaint regarding Complainants’ choice of identifying themselves collectively as “Supply Source” when their parent company is named Supply Source Enterprises, in the Opposition response, Complainants state, “[t]o be clear, Supply Source is not a party to this case. Only Complainants are (the parties actually injured).” Opposition at 1, n.1.

For the sake of judicial efficiency and given Complainants' representation that they will obtain an assignment of the claim from Laufer, ruling on the MTD is **DEFERRED**. Deferral will allow Complainants time to either obtain an assignment of the claim or plead Laufer as a party to the proceeding, and in either case, file an amended complaint. The amended complaint should provide more specificity regarding the sequence of events (who did what and when) and should correct any errors in identifying Laufer as an NVOCC while also explaining what it did to "assist in the facilitation of the relevant containers." *See* 46 C.F.R. § 502.66(a) ("The presiding officer may direct a party to state its case more fully and in more detail by way of amendment."). Finally, pursuant to Rule 66(b), Complainants are authorized to serve the verified amended complaint directly to Respondents but should simultaneously file a copy with the Secretary and a courtesy copy to Judges@fmc.gov. 46 C.F.R. § 502.66(b).

Accordingly, the parties are hereby **ORDERED** to follow this schedule:

May 20, 2024	Complainants file amended complaint
May 31, 2024	Parties submit a joint status report
June 7, 2024	Respondents file answer

A ruling on the MTD will be issued after May 20, 2024. Requests for extensions of time to file the amended complaint or answer are unlikely to be granted.



Linda S. Harris Crovella
Administrative Law Judge